

Chapter Three

Organization and Management Forms of Public Enterprises

3.1 Major Forms of Management of PEs

- Besides its economic functions, the public enterprise sector is distinguished from other gov't sectors by its mgmt. characteristics.
- This distinct feature of public establishment makes the sector essential in the study of dev't administration.

New form of mgmt. has been devised for PEs because traditional systems of gov't:

- Are incompatible with industrial, commercial or business mgmt. due to the requirements for flexibility and economic efficiency of PEs.
- The financial acquisition and expenditure mgmt. systems are also different in these two public sectors.

For example:

- PEs cannot depend on regular budgetary appropriations from the gov't treasury.
- The accounting, audit and personnel mgmt. systems used in traditional gov't orgs are not suitable to the mgmt. of businesses.
- Hence, unlike the public bureaucracy, PEs require an autonomous, flexible, and adaptable mgmt. system which is uniquely necessary to their success.

- However, some PEs may exceptionally remain under the administrative system closely similar to traditional gov't dep'ts.
- Consequently, we find different kinds of PEs, which may be classified on the basis of their:
 - ✓ *Source and nature of legal establishment,*
 - ✓ *Nature of specific functions,*
 - ✓ *Mgmt. style and degree of operational autonomy, and*
 - ✓ *Location and position in the gov't structure*

1. Categorization based on Establishment Laws and Major Mgmt. Forms

Referring to the categorization of the entities on the basis of their, we can identify three types of PEs; i.e.

- **Government Department (also known as Dep't Mgmt/Undertaking and Parastatal),**
- **Government Company (also known as SHC and Mixed Ownership Company), and,**
- **Public Corporation.**

(A) Department Management (Undertaking):

- In this pattern, PEs are owned and managed just like other gov't departments; they are often headed by ministers.
- Notable examples of these types include defense industries, railways, postal offices and telegraphs. Yet, such PEs could gradually transform into a form of public corporation.
- Department mgmt. form of PEs are applied only in certain circumstances, like:

- (i) Where the need for security or strategic importance make them difficult to be operated by other forms of management, e.g., defense industry.
- (ii) In administration of national services or gov't monopolies; e.g. postal, telegraph and telephone and railway services.

Department undertakings possess the following **characteristics**:

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- (i) Created by **statutory proclamation** of the parliament/legislature; i.e. the law maker,
- (ii) Financed through **annual appropriations** from the treasury and all or major share of its revenue is paid back to the treasury,
- (iii) May be required to **work out financial** results, determined through accounts maintained in **commercial principles**, but are subject to the **budget, accounting and audit controls** applicable to other gov't depts.

- (iv) Staffed with **permanent civil servants** (or career personnel) recruited under terms and conditions similar to other civil servants,
- (v) Possess the **sovereign immunity** of the state and cannot **sue or be sued** without the consent of the government.

The main advantages of this system are:

- **Assuring maximum government control** in vital public services and security matters,
- Bringing **greater coordination** by establishing clear relationship between PEs and appropriate gov't departments/ministries.

This form of management, however, suffers from obvious disadvantages:

- The bureaucratic form of administration tends to lead to inefficiency, red tape, and operational delay.
- The administration may be exposed to excessive interferences of the bureaucracy in fiscal and personnel decisions, inadequate mgmt. autonomy in vital areas such as capital expansion, technical improvement, purchasing, etc.

(B) Government Company:

- It is also known as **mixed ownership company** or **shareholding Company**.
- It is a registered **joint stock company** form of mgmt.
- It amounts to running enterprises that are **purely commercial and industrial** nature.
- This form includes enterprises, **exclusively** owned by the state or **jointly** owned with private investors.

Its principal **characteristics** include:

- (i) The whole or at least 51 per cent of the capital stock is owned by the government,
- (ii) It is a corporate body created under the **Company Law** of a country; i.e. established by an **executive order** of the gov't without **parliament's approval**.
- (iii) It can sue and be sued, enter into contracts, and acquire property in its own name.
- (iv) It has almost the feature of a PLC.
- (v) It is Headed by board of directors majority of whom appointed by the gov't.

- (vi) The composition of board members is proportional to the share of capital of owners in the enterprise. Gov't recruits board members either from its own officials or from outside.
- (Vii) Its capital is obtained from gov't sources or from contributions by gov't and shareholders, or from revenues derived from its business activities.
- (viii) It is exempted from personnel, accounting, and audit laws and procedures applicable to gov't departments; its staffs are not civil servants.

This form of PE is used in companies, which chiefly rely on foreign financial and technical assistance.

(C) Public Corporation:

- Public corporation is relatively a new concept of administrative organization.
- Although it has been rarely employed in earlier times, it is essentially the twentieth-century creation to meet certain economic difficulties occurred during the period of GED.
- The public corporation mgmt. is a sort of **compromise** between the **policy of *laissez-faire*** and **strict bureaucratic control** in public administration.

- It is a conscious attempt to unit the merits or features of public and private administration.
- It combines democratic control in major policy issues and commercial freedom in its organization and management.
- In other words, the method is based on the desirability of combining commercial freedom with public accountability in order to protect freedom of operation from an excessive ministerial control.

Some of the important characteristics of public corporations include:

- (i) It is wholly owned by the state
- (ii) It is a separate legal entity and is distinct from the gov't, which created it.
- (iii) It has a corporate character, which confers power upon it, but can do only what the establishment charter/law authorizes.
- (iv) It is established by a **special statute of the parliament** outside the domain of an ordinary company law.

The law lays down the public purpose and defines its powers, duties, immunities, form of mgmt. and relationship with ministers.

(v) It is managed by a board, which has a self-contained financial structure. The board is responsible for overall policy, but not for day-to-day administration.

(vi) It is, in theory, independently financed through its own revenue and from capital borrowing.

- (vii) It has flexibility and initiative similar to a private enterprise; while enjoying freedom in administration, finance, accounting and purchasing; and it has the power to recruit its own personnel.
- (viii) It is a legal person which can enter into contracts, sue and be sued, acquire and own property in its own name.
- (ix) It holds funds in its own name, exempted from most regulatory and prohibitory statutes in the management of funds.

- (x) It operates within the broad guideline of gov't policy via the board, while the day-to-day administration is the exclusive responsibility of the managing director.
- (xi) Though the primary objective of a Public corporation is not profit, but public service, it operates in business lines, not in bureaucratic procedures and practices.
- (xii) its employees are not civil servants, and are recruited independently under the terms and conditions determined by the corporation itself.

The major advantages of this type of organization are the following:

- It has the flexibility and initiative of a private enterprise with minimum public regulation in its major policies.
- It takes the combined advantages of public and private administration, since the public corporation is:
" clothed with the power of government but possessing the flexibility and initiative of a private enterprise."

However, it has its own **disadvantages** or **operational problems**, which arise from reconciling management autonomy and public accountability; i.e.

- Its corporate autonomy (operational freedom) may be abused by administrative elites of the organization.
- On the other hand, too much gov't interference may defeat the very purpose for which it is established.
- Generally, reconciling "democracy" with "efficiency" is the major challenge of PCs.

2. Classification by Nature of Functions

The second way to categorize PEs is according to the nature of their functions.

- The grouping of such categorization may consist of **production and trading companies, industrial and commercial enterprises**, which are expected to operate at profit.
- Such enterprises include mines, wholesale and retail stores, rubber and tea farms, steel industries, pharmaceutical plants, etc.

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- Another grouping of enterprises based on the nature of functions include **public utilities and services**, which are supportive or infrastructure types like power, water, communication, and ports.
- Function-based grouping of PEs could also include those created entirely for the **purpose of dev't; providing credit services** at special terms, and **technical support** to other institutions, for both public and private.
- Such enterprises may include industrial development authorities (like Development Projects Support Service Authority-DPSSA, and Industrial Projects Service-IPS in Ethiopia).

3. Grouping by Location and Position in the Government Structure

- A third way of categorizing PEs is based on their location and position in the gov't structure.
- In many countries, central and state gov'ts have established systematic networks of PEs.
- Such enterprises are created to develop a particular region or location.
- Another trend in the third categorization is the emergence of a hierarchical relationship among public enterprises, such as trading companies that often have branches in districts and towns.

3.2 Organizational Structure of PEs

- PEs are arranged or organized in a hierarchical form, especially when the sector is very large.
- As Gant (1979:125) describes, this trend along its distinctive mgmt. characteristics converts the PE sector into a “**third bureaucracy**”.
- This is said because it approaches the dimensions and importance of traditional public administration and the private sector.

- The typical organizational pattern of public companies is grouping together PEs operating in a particular field under a **central holding company**.
- Holding companies have been consciously adopted to ensure expertise, rational mgmt. and better coordination of functions of different PEs.
- In Ghana, for example, separate holding companies are created for **industrial, mining, trading, and financial enterprises**.

- The Nigerian National Petroleum Corporation (NNPC) is another good example of the holding company, which now administers or coordinates the activities of about **eleven subsidiary companies**.
- In other countries as well, large holding companies, notably trading companies, set up operating branches to serve regions and districts. E.g. the former EDDC of Ethiopia.
- This pattern forms hierarchical relationship between subsidiary and holding companies.

The holding company concept is often suggested as a desirable option for PEs' mgmt. for its **advantages**, like it:

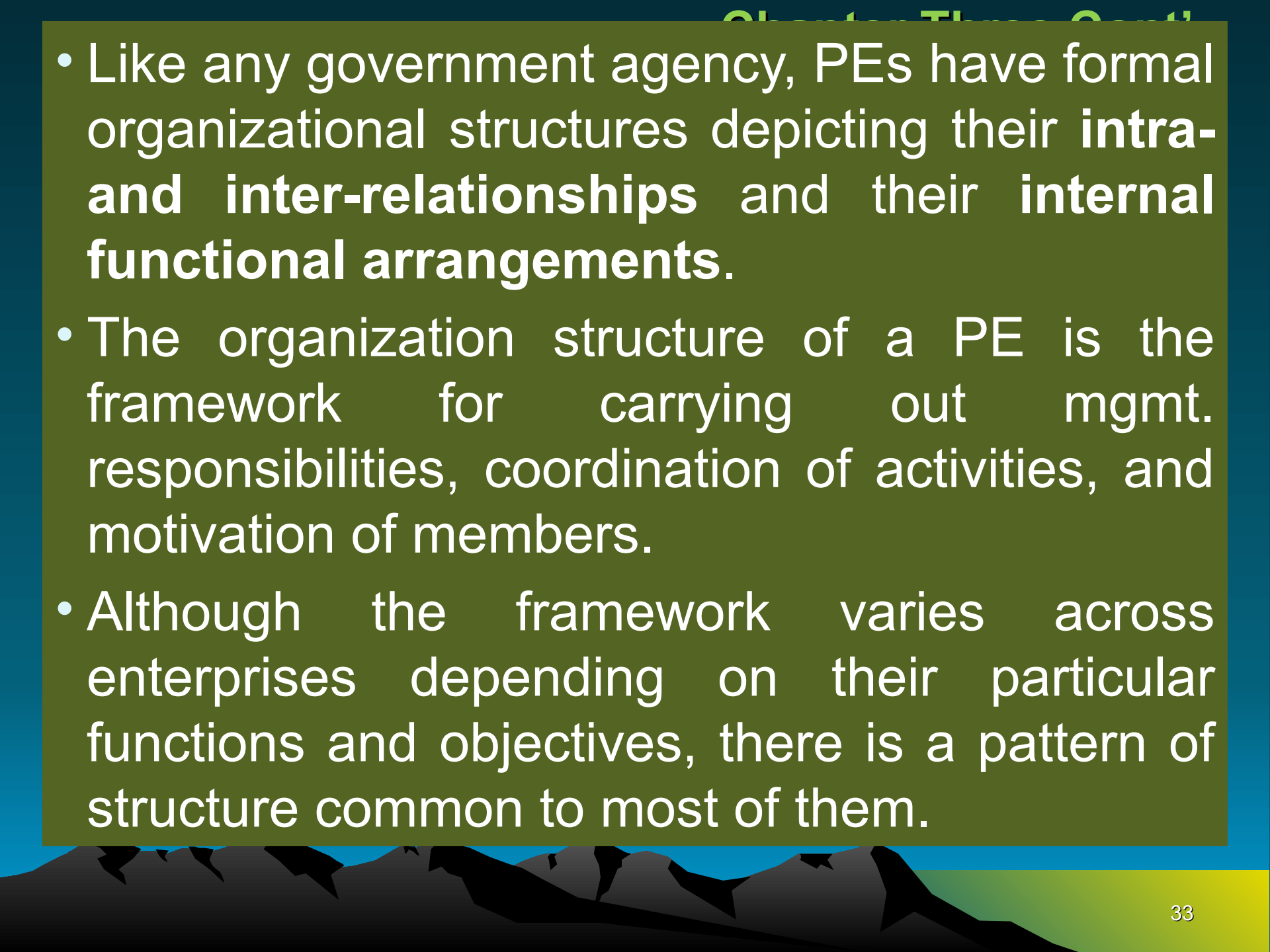
- Establishes common understanding and harmonizes policy implementations, and ensures uniform information and reporting systems among subsidiaries.
- Enables effective communication and implementation of gov't policies by subsidiaries.

- Facilitates **Cross subsidization or inter-transfer of funds.**
- In the event of financial distress or severe economic downturn, the holding company may provide financial assistance to subsidiary companies or the vice versa.
- Likewise, subsidiary companies may help each another in cases of emergencies through the mediation of the holding company.
- Facilitates the exchange of experiences when facing common problems.

Nevertheless, holding companies of monopolistic nature may have the following **demerits**:

- They are likely to curb operational freedom of the subsidiaries in matters of major policy decisions despite that subsidiaries may have differences which require separate handling.
- Holding companies involve cost of establishment, personnel and other functions, which may duplicate the work of subsidiaries.

- The holding company may need to delegate powers for its successful operation. But this would alter the necessity of its establishment in the first place.
- Holding companies may foster monopoly and centralization in a particular sphere of activity, which is against the principles of diversity and optional freedom of PEs.
- Holding companies create additional organizational layers and are accompanied by time-consuming procedures. Thus, hinders efficient and timely decision-making system.

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- Like any government agency, PEs have formal organizational structures depicting their **intra- and inter-relationships** and their **internal functional arrangements**.
 - The organization structure of a PE is the framework for carrying out mgmt. responsibilities, coordination of activities, and motivation of members.
 - Although the framework varies across enterprises depending on their particular functions and objectives, there is a pattern of structure common to most of them.

- Almost all PEs are structured in a manner depicting the **Head of Government/Cabinet** on the top, **Supervisory Ministry**, the **Board of Directors**, and the **Internal Management (Chief Executive and other departments)** in order of their presentation.
- The **holding company** is adjacent to the board.
- All the bodies, which appear in the organization structure are supposed to see themselves as **parts of an organism**, not as **competitors** for power.

- All PEs, regardless of their size or mission, establish various segments or units that make up the organization structure.
- This is done by dividing the overall operations into sub-activities and then by combining these sub-activities into specialized functional units.
- This process of grouping specialized activities in a scientific and logical pattern is called **"departmentation"**.
- The most common bases of departmentation are **function, territory, product, customer, and process.**

1. Departmentation by Function:

- It is grouping of activities in accordance with the specific functions that require similarities of required expertise, skills or work activities.
- In this method, jobs that call for certain skills or the use of similar work systems are put together.
- Functional similarity is the most common base of departmentation for almost every enterprise as far as internal structure is concerned.

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- It asks about “what kind of activities does the enterprise typically perform?”
- Example of an enterprise having different departments arranged on the bases of function include: engineering, production, marketing, finance, HR, PR, and so forth.

2. Departmentation by Territory/ Geography:

- Departmentation by territory implies arranging a group of business activities on the basis of geographic location or territory.

- It is commonly applied in enterprises that operate over wide geographic areas; i.e. in large-scale enterprises whose activities are geographically dispersed.
- The logic is that all activities in a particular area are assigned to a manager who will be in charge of operations in that geographic area.
- However, the tasks which one enterprise performs in a particular territory are quite similar with the others elsewhere.

- Geographic departmentation works best also when different laws, currencies, languages and traditions exist that have direct impact on the ways in which business activities must be conducted.

3. Departmentation by Product (Product Line):

- It is the grouping or arrangement of activities around products or product lines.
- Departmentation by product is used when attention, energy, and efforts are needed to be directed to an organization's particular products.

- This can be better used if each product requires a unique strategy, production process, distribution system, or capital sources.
- This approach notably works for an enterprise producing different types of products. For example:
 - (i) **Textile products:** Nylon products, woollen products, silk products, cotton products
 - (ii) **Petroleum refinery:** kerosene, diesel, etc.
 - (iii) **Electronics:** Radios, TVs, Computers

4. Departmentation by Customer:

- It is grouping of activities around customers to meet their convenience and interests.
- This approach makes sense when customers of a given enterprise are distinct enough in their demands, preferences, and needs.
- It helps organizations to meet the special and widely varied needs of customers.
- It can be used in retail stores classified in departments based on identified customers, like: **men's clothing, women's clothing, children's clothing.**

5. Departmentation by Process:

- Manufacturing firms often group their activities around processes of work or types of equipment they use.
- The final product of a single enterprise may be obtained after passing through several processes and stages.
- In this case, the output of a given process or department may be used as an input for the other unit until the final product is obtained.
- **E.g. Textile factories, electronic chips, etc.**